A RATTY2TAILS ESSAY ON MONETARY DEBASEMENT

Money: hard or soft?

A brief essay that explains the consequences of using soft money.

–90%	**–20%**
Purchasing power lost by the pound since 1976. What cost £1 in 1976 costs about £9.30–£9.35 today — a 1976 pound is now worth only about 10–11p in 1976 terms.	Purchasing power lost since 2021, just five years ago. What cost £1 in 2021 now costs roughly £1.24.

This is the Consumer Price Index (CPI) measure, which tends to understate the loss versus a hard-asset view — the Retail Price Index (RPI) measure (which includes housing costs more fully) would show an even steeper decline.

Why do prices go up?

So yes, we all know that prices go up, but why? Is it some law of nature, decreed from on high?

Economists blather on, politicians and governments blather on, but economics is a pseudo-science, full of mumbo jumbo masquerading as actual physical laws, laws which claim to predict human nature and the future. Ultimately, it's all twaddle.

Strip away all the jargon and "laws" and we end up with a simple formula:

Price = Amount of money ÷ Amount of goods and services, or P = M / G

So if the amount of money M stays constant, and G stays constant, then P stays constant.

A reduction in G, the amount of goods and services falling dramatically, would make P go up. This is one reason why productivity is so important. If productivity, G, were to go up, then P would fall, marvellous! In the UK though, productivity is notoriously poor and resists efforts to increase it.

The biggest factor in our simple little formula is M, the amount of money in existence. If M is increased, then as long as G stays roughly the same or even increases just a little bit, P will go up. This is what has happened since at least 1976; the amount of money in existence has gone up dramatically more than G, so prices have sky-rocketed.

And how is the amount of money increased? By central banks, working for the government, not you and me, making more of it. They have various jargon terms for this, eg Quantitative Easing (QE) or "yield curve control" or whatever sounds good and complicated — beyond the wit of the ordinary person to comprehend. This money is literally created out of thin air. This is known as "soft money".

We disregard such things as oil crises etc as "supply side shocks" which would also push up prices, since

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P = M / G, so if less G (oil) then P must go up.

e.g. 4 = 12/3, but 12/2 = 6, and 6 is bigger than 4.

These "supply side shocks" are transitory; after all, we haven't been in an oil crises continually from 1976, so why else should prices go up?

What are we to do?

First, recognise our house is built on sand.

> *"And the rain descended, and the floods came, and the winds blew, and beat upon that house; and it fell: and great was the fall of it."*
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> Matthew 27

Sounds dire, and it is, but we don't want to collapse civilisation itself as we re-build our house on rock. So instead we use all our collective wisdom and talents to move to a system where M can't be increased at all, not by anyone. This is what's known as a "hard money". This will take a long time, but our future existence depends on it. Build your house on rock, not sand, or great will be the fall of it. Once that is achieved, we can see what else needs to be built on rock.

Further reading

Broken Money: Why Our Financial System Is Failing Us and How We Can Make It Better

Lyn Alden — a seminal work on this subject, highly recommended. Around £18 new from Amazon.

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3 September 2026